

Gift Card Policy

Summary

Gift cards may be used only for limited discretionary recognition and must be approved, ordered through an approved method, tracked, and reported for tax and payroll purposes.

Purpose and Scope

This policy applies to all employees, managers, contractors, departments, and business units that request, purchase, approve, distribute, receive, or handle gift cards purchased with Company funds. It establishes controls to ensure gift cards are used appropriately and in compliance with tax, payroll, and fraud-prevention requirements.

Policy

Gift cards may be used only as a limited, discretionary recognition tool for occasional one-time events, individual contributions, team milestones, or employee appreciation initiatives. Gift cards are not wages, guaranteed compensation, recurring bonuses, commissions, reimbursements, or any other form of earned compensation.

Permitted and Prohibited Uses

Managers may issue gift cards for occasional recognition that is not tied to required duties, performance evaluations, attendance, sales goals, key performance indicators, or predetermined outcomes. Gift cards may not be used to replace wages, bonuses, commissions, overtime, shift differentials, expense reimbursements, payroll obligations, procurement obligations, hardship assistance, or any payment that must be processed through established Company systems.

Approval, Ordering, and Tracking

Gift cards must be approved in advance and ordered only by: (1) bulk purchase, which must have a corresponding entry in the Comp Connect tool; or (2) the Route2Recognition button in Workday. Departments must maintain records showing the recipient, amount, business purpose, approval, purchase date, and distribution date.

Tax Reporting, Exceptions, and Violations

Gift cards are taxable income and must be reported through the required payroll process. Any exception requires prior written approval from the District Controller. Improper, unauthorized, or undocumented use may result in corrective action, up to and including revocation of gift card privileges, disciplinary action, or termination of employment.

Questions

Employees and managers should contact their supervisor or Regional Human Resources with questions.